How the same income shock changes responses by initial debt
Lower patience · annual β = 0.85

41.9% 43.0% 44.2% 45.8% 47.0%

Ramsey | Markov | Reputation

Δ net debt issuance (% of pre-shock income)

Δ spread (quarterly basis points)

Δ primary balance (% of pre-shock income)

Quarters after income shock

Same 3.36% income decline; 2,000 paired paths; mean changes from matched baselines.
Only the government's discount factor changes from the original calibration; equilibrium policies and prices are re-solved.
Flow responses use fixed pre-shock quarterly income; spreads are quarterly basis points. Positive primary balance means tightening.
Colors identify initial debt / annual income. Reputation starts at 50%; Ramsey averages over debt-specific inherited promises.